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SEPHORA | DESCRIPTIVE ANALYTICS USING POWER BI

Unveiling the Beauty Secrets:
A deep dive into Sephora's world of products, revealing trends, prices, and customer favorites

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INTRODUCTION

This dataset includes numerous information regarding the range of products offered on the Sephora Website. Each attribute for the products has been documented within the dataset. The dataset features the product's brand, category, name, and size as well as the price where these are the probable products and their range of price.
When assessing the customer sentiment and popularity of the product, it is worth bearing in mind the presence of product ratings and the number of reviews. Within the data available, "loves" is included which could be useful for metrics regarding the products in question.
In addition to the above, certain flags capturing the attention of marketing (eg, online only, exclusive, limited editions) inform on how Sephora touches each product and its respective marketing. The dataset also covers the range of product variants(colors, sizes), descriptives, manuals on use and brochures of the product making it easy for the users to get a better understanding of the products.

This dataset can be used to answer a variety of questions, such as:

- What are the most popular product categories on Sephora's website?
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- Is there a correlation between the price of a product and its rating or the number of "loves" it receives?
- How does Sephora use marketing flags to promote different products?
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- Are certain brands more likely to be offered exclusively online?
- What are the dominant product categories offered by different brands?
- Are there any relationships between product characteristics (e.g., size, ingredients) and customer ratings?
- How does the frequency of "limited edition" products vary across different brands or categories?
- Is there a relationship between the number of reviews and the number of "loves" a product receives?

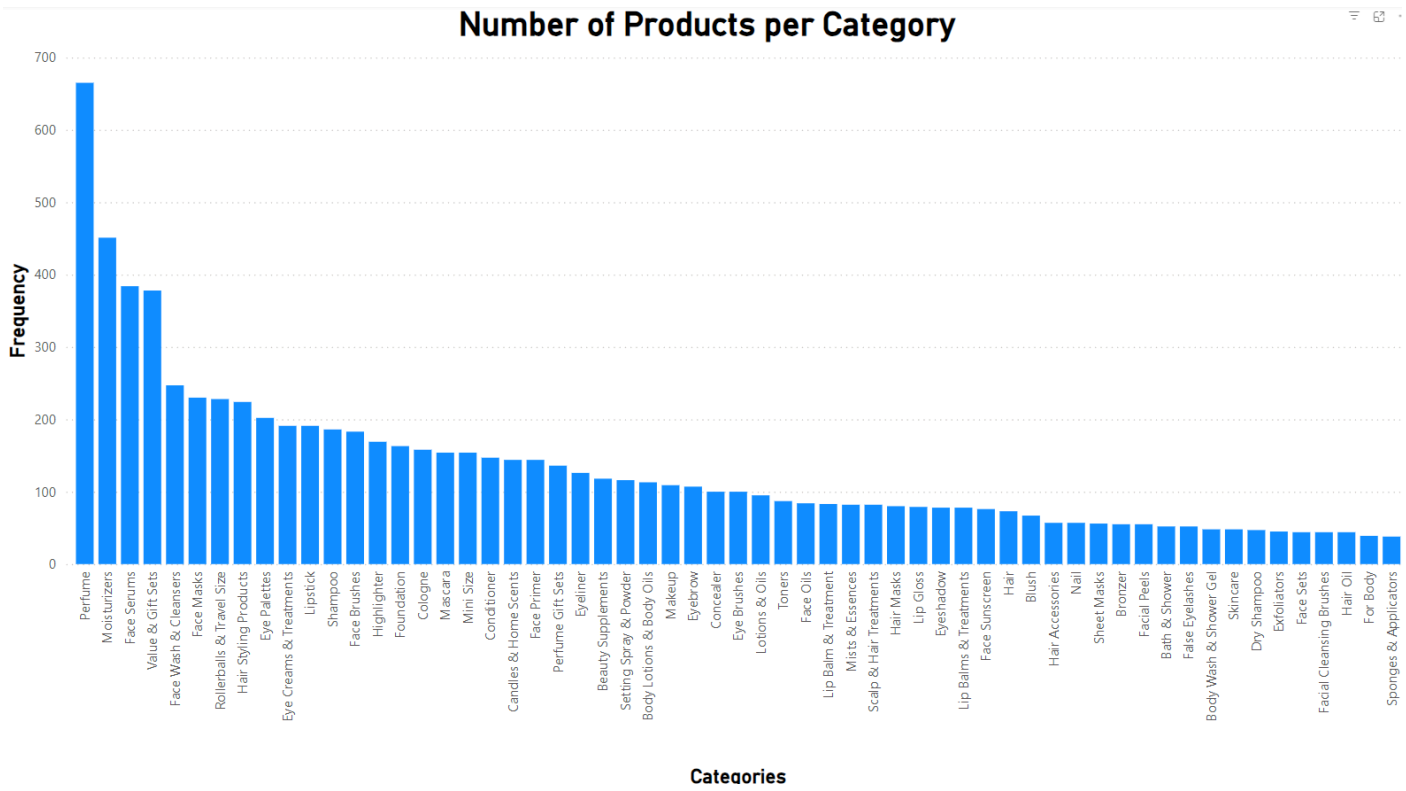
An overview of the important variables in the dataset is provided below:

- **id** : The product ID at Sephora's website
- **brand** : The brand of the product at Sephora's website
- **category** : The category of the product at Sephora's website
- **name** : The name of the product at Sephora's website
- **size** : The size of the product
- **rating** : The rating of the product
- **number_of_reviews** : The number of reviews of the product
- **love** : The number of people loving the product
- **price** : The price of the product
- **value_price** : The value price of the product (for discounted products
- **URL** : The URL link of the product
- **MarketingFlags** : The Marketing Flags of the product from the website if they were

exclusive or sold online only

- **MarketingFlags_content** : The kinds of Marketing Flags of the product
- **options** : The options available on the website for the product like colors and sizes
- **details** : The details of the product available on the website
- **how_to_use** : The instructions of the product if available
- **ingredients** : The ingredients of the product if available
- **online_only** : If the product is sold online only
- **exclusive** : If the product is sold exclusively on Sephora's website
- **limited_edition** : If the product is limited edition
- **limited_time_offer** : If the product has a limited time offer

CHARTS AND GRAPHS



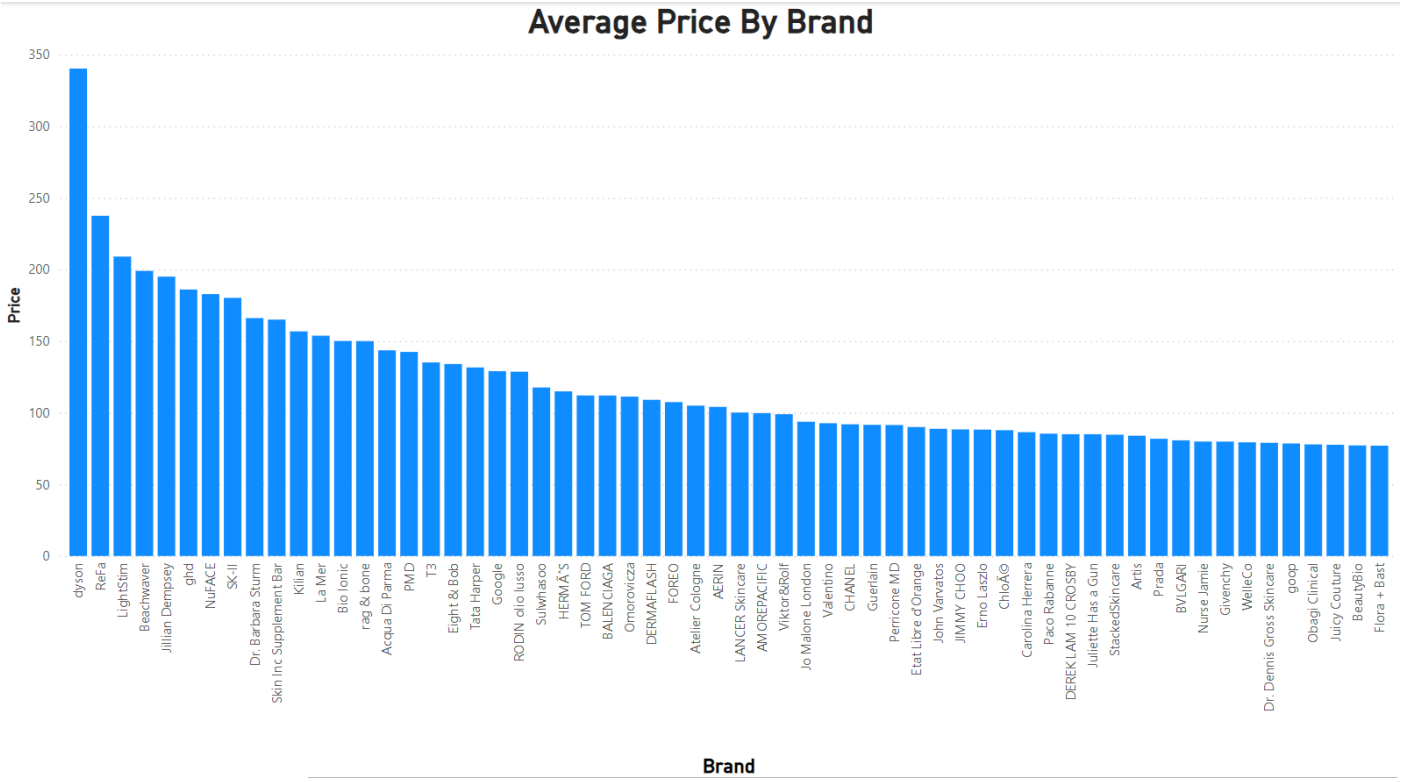
Key Findings & Patterns

1. Dominance of Specific Categories: The graph gives emphasis that some categories are prominent in the product mix of Sephora. The biggest number of products is found in the following two categories: Perfume, Moisturizers, Face Serums, and Value & Gift Sets. This implies a preference for skin care and fragrance related items.
2. Long Tail of Categories: Although there are a few major categories, there are many others with lesser products spread out across what can be termed as a long tail. This means there are many types of products aimed at specific markets and different types of customers.
3. Potential for Category Consolidation: Some categories having a very minimal number of products might be considered for category bing or for review. This may cut back on the current operating procedures and bring efficiency.

Business Strategy Implications

1. Seek for Opportunities to Diversify the Product Range: There is room for growth in the following products: perfume, Moisturizers, Face Serums, and Value & Gift Sets. Sephora could:
    a. Focus attention on marketing these categories.
    b. Make sure that there are enough stocks of these products and they are well positioned within the shelf edge (online and offline).
    c. Create specific offers and use bundled sales within these categories.
2. Target Specific Segments: The long tail of categories suggests an opportunity to cater to niche markets. Sephora could:

    a. Deploy targeted marketing campaigns towards customers who buy or are likely to buy less mainstream products.
    b. Design and send out individual strategies based on customers' previous visits or purchases.
    c. Design special collections or sections towards the niche categories.
3. Improve Categories: Sephora should always seek to widen or narrow product categories in the interest of losing them or having a wider product base. This might mean:
    a. Making close categories so that navigations are easy and make more sense to your customers.
    b. Deleting or disabling categories or products which do not turn in profits.
    c. Creating new markets for promising niches through acquisition or development of new product ideas.
4. Inventory Management: Looking at how a product in a category is spread among other categories can assist in efficient inventory control. Sephora can pinpoint the most favored and least favored categories of stock, meaning that there is no overstocking or erudition of inventory.
5. Website Design and Navigation: The category distribution can inform website design and navigation. Sephora can prioritize categories with more products in menus and search results, making it easier for customers to find what they need.



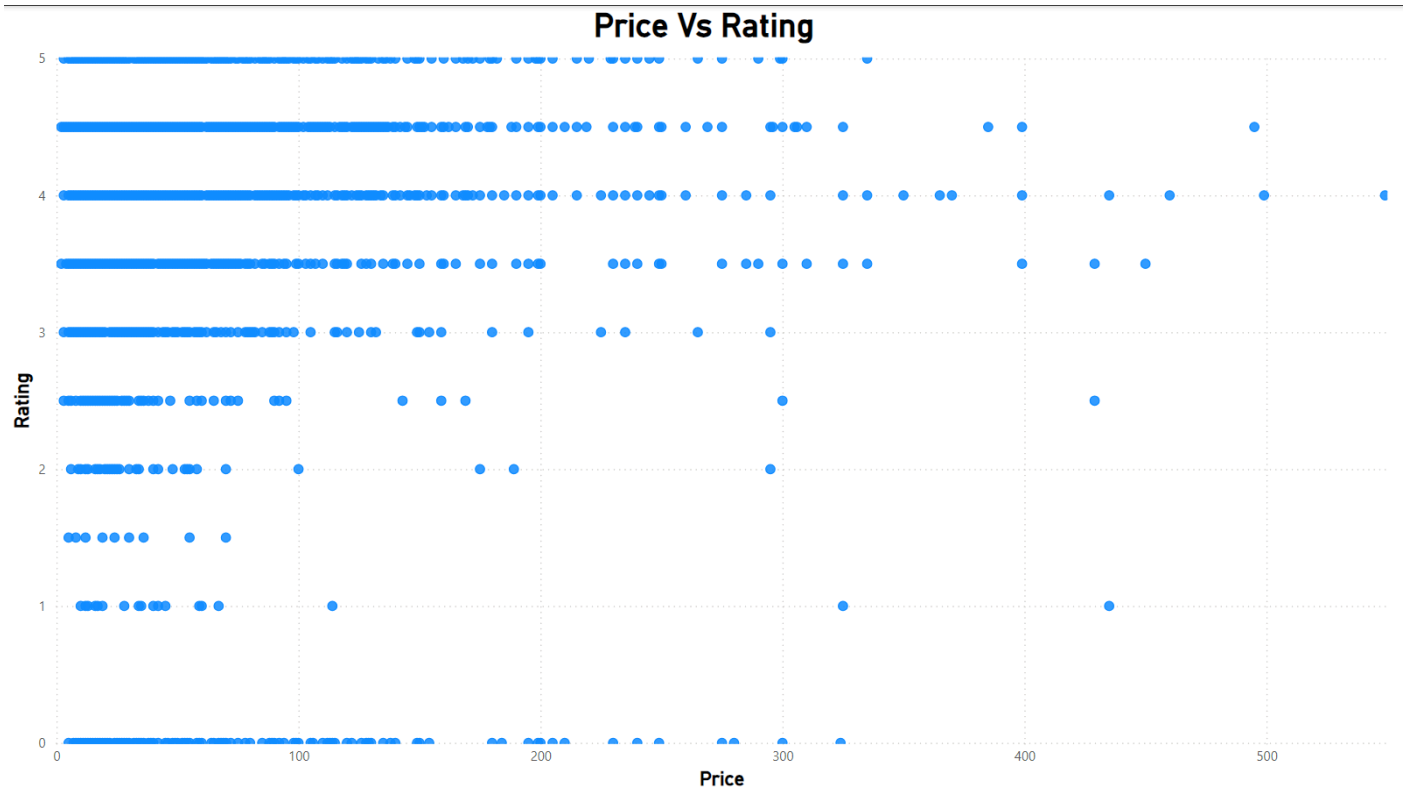
Key Findings & Patterns

1. Wide Price Range: The graph portrays an average price range that differs considerably by brand, which suggests that there are products for a range of prices and types of customers.
2. Luxury Brands in Upper Price Range: La Mer, SK-II, and Sulwhasoo are brands which occupy the upper segment price range, which explains the luxury nature and their possible high quality of ingredients or formulations.
3. Mid Range Competitive Pricing: A big cluster of brands falls under mid averages price making it competitive as brands compete for customers at a proposed price.
4. Low Cost oriented Brands: Lower average prices are set by some brands like Juicy Couture and Beauty Filo, which suggest sacrificing all the brands for the best possible price and value.

Business Strategy Implications

1. Brand Positioning and Pricing: Such data can also be utilized by Sephora to position itself in the market. Allowing them to understand average pricing across different brands and seek to:
    a. Ensure competitiveness of each brand across the different segments.
    b. Seek opportunities of carrying more brands as a way of charging more for better customer service.
    c. Have a harmonious mix of both the luxury, mid, and economy brands.
2. Targeted Marketing and Promotions: This data can also be used by Sephora in determining how to price market or promotional activities. For instance:
    a. Price promotions on value brand can be targeted at price sensitive

customers
    b. Positioning expensive brands as luxury brands with exclusivity to differentiate from the lower market segment
    c. Create bundles or loyalty programs that would appeal to customers at particular price points.
3. Product Development and Merchandising: In fact, the analysis of price data can also help Sephora in their product development as well as merchandising. This would include:
    a. Developing new products or product ranges at a certain price level in order to cater for gaps in the market.
    b. Partnering with brands requesting exclusives and product variations at different price points.
    c. Positioning and pricing of products in retail and on the internet for different consumer budgets.
4. Comparative Study: Compared to its competitors, Sephora can utilize this information to set a standard for its brand pricing. This makes it possible to recognize chances to modify pricing or expand its product range.



Key Findings & Patterns

1. No Clear Correlation: This scatter plot does have some slumps on its linear regression line which is price vs. rating. This implies that everyone does not provide a high rating for high priced items and likewise, low price items do not guarantee low ratings.
2. Concentration of Ratings: Most of the ratings given to these products range from 3.5 to around 5, which shows that most of the customers are satisfied with the products.
3. Outliers: There are some outliers with a rating of 1-2, but most purchases of high priced products do have high ratings. This means that just because a product comes with a high price tag does not guarantee its quality or that customers will be happy with it.

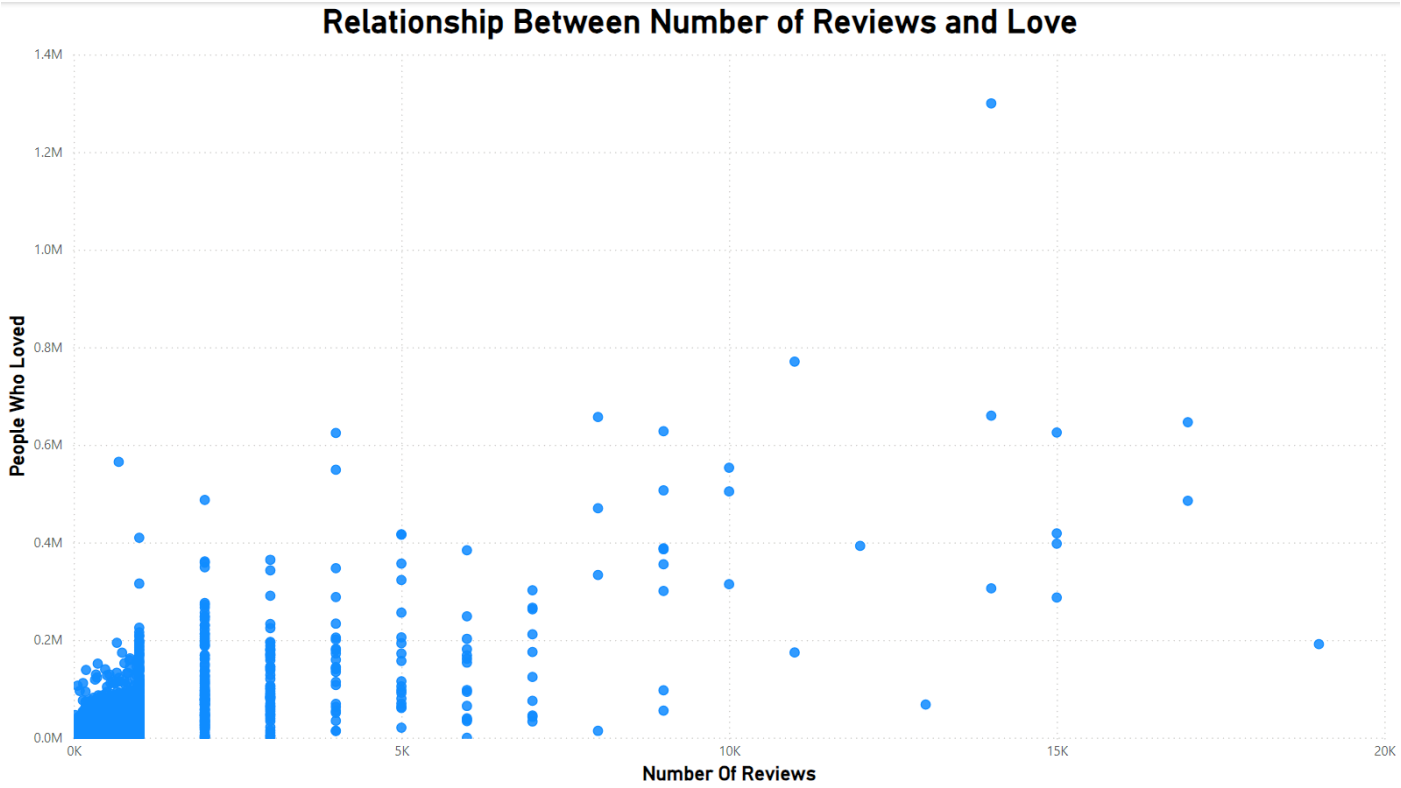
Business Strategy Implications

1. Look at Value Along with the Price and Not Price Alone: Sephora should emphasize giving value to the customers and not necessarily have expensive items. For instance, it could do the following:
    a. Offering items that have low and high price ranges in order to accommodate a good number of clientele.
    b. Concentrating more on the features of the products and the benefits rather than the brand or the price tags.
    c. Providing the same level of satisfaction and quality to the consumers regardless of the price ranges.
2. Look at the Products with Low Ratings: It may also be necessary for Sephora to

study the outliers for low ratings so as to determine the cause of customer dissatisfaction. This could involve:

   a. Going through the comments and reviews given by customers.
   b. Evaluating the range of products or any other possible problem.
   c. Correcting the problems or taking the steps required to satisfy customers.

3. Control Customer Relations: Sephora should have to take control of the factors that are likely to shape the price and the rating by the customers. This could involve:
   a. Posting information together with reviews of the products that will aid the customers in making up their minds.
   b. Having good customer service in order to resolve any matter or a lot of matters.
   c. Creating a reasonable expectation of the brand based on credibility and confidence in the customers.
4. Pricing Strategies: It may even make more sense for Sephora to look into other pricing strategies instead of focusing just on how high the prices are. This could involve:
   a. Value pricing: Having the same price for products that have the same design and quality.
   b. Premium pricing: Now making justifications for prices above the normal level through unique features, exclusive offerings or high quality.
   c. Promotional pricing: Reducing the price for some items or offering bundles for customers who are price sensitive.



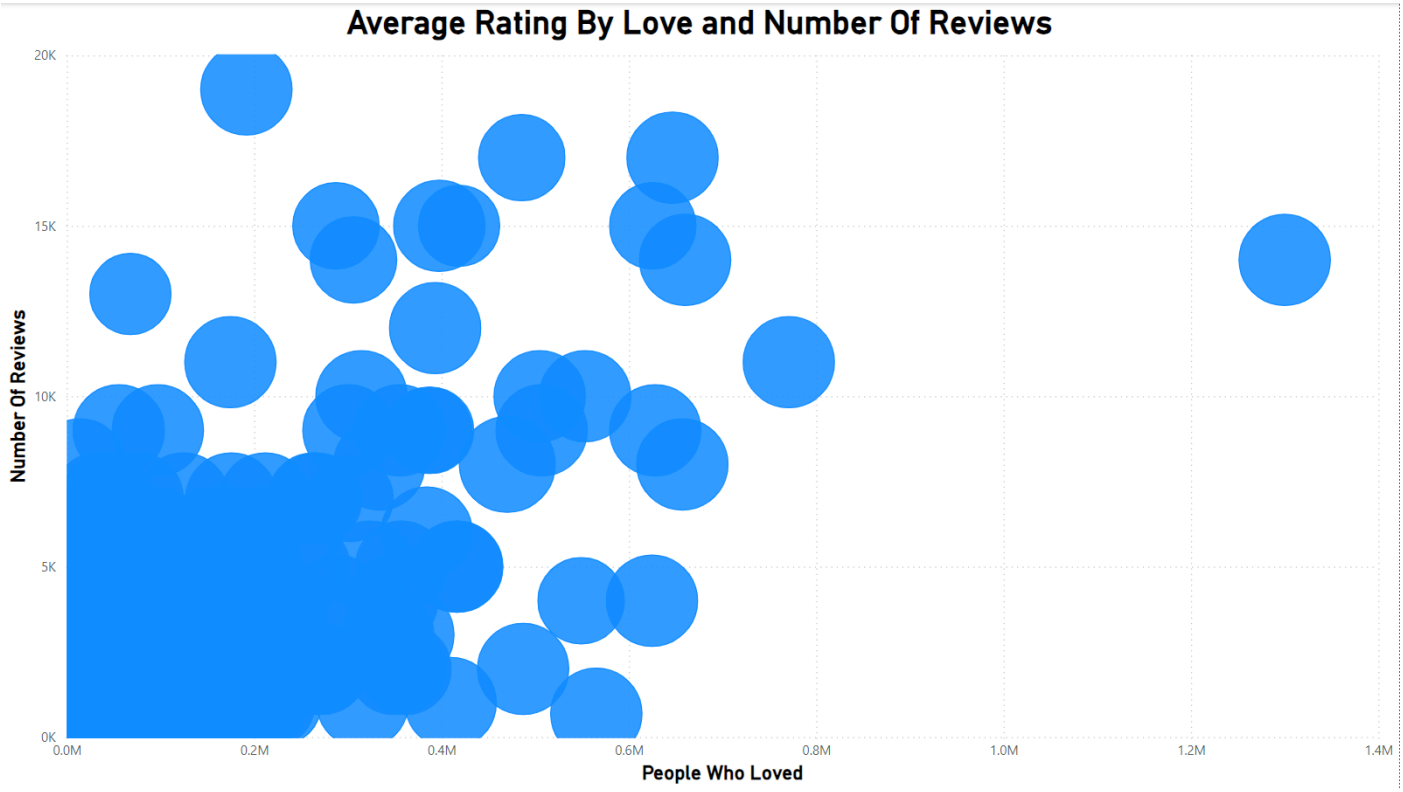
Key Findings & Patterns

1. Positive Correlation: The scatter plot illustrates that there is a guaranteed positive correlation of the two metrics where the number of reviews increases with an increase in number of 'loves' for a product. This indicates that the more the reviews a product receives, the more people there are who tend to love the product.
2. Increased Visibility and Social Proof: It stands to reason that a lot of reviews will have the effect of increasing the visibility of a product, as it sits high on search results and recommendations. More reviews serve as social proof as well, indicating quality and persuading some people to use the product.
3. Potential for Virality: This potential is also seen in products with a lot of reviews and an even greater number of loves where a word of mouth or sharing on social media makes it very likely that these products will be able to successfully take off.

Business Strategy Implications

1. Encourage Reviews: Sephora has to put more effort into requesting the clients to leave reviews on the products. This could include:
    a. Providing motivation to the customers leaving the review e.g. discounts, loyalty points.
    b. Simplifying the review process.
    c. Featuring consumer reviews on marketing materials and product pages.
2. Leverage Social Proof: Sephora has an opportunity to use the reviews as social proof to boost sales. This may include:

    a. Placing products with most reviews and loves Relvisible as best sellers.
    b. Placing adverts that feature customer testimonials and reviews.
    c. Running social media adverts that get people to post about their best items and reviews.
3. Identify and Promote Viral Products: Sephora needs to scout for and promote potential viral products. This may involve:
    a. Keeping track of the total amount of reviews and loves each item receives.
    b. Asking for opinions in order to determine trends and which products are doing well.
    c. Using social media and influencer marketing to promote the popular products.
4. Community Building: Customers would feel like they belong to a community if they are able to interact through their reviews and comments about the product and their purchase. This may include:
    a. Establishing websites where customers can post their comments about the product purchased.
    b. Organizing events or contests to motivate customers and make them try finding products.



Key Findings & Patterns

1. Love as a function of reviews: Products with larger circles report receiving more reviews and love, this is consistent with what we gathered from the previous scatter plot. More people tend to rate the given product that they love.
2. Rating's Gravity: Bubbles' size denotes the average rating. There doesn't seem to be any massive regularity but it seems that the more rated a product is, the more reviews and 'loves' it receives. This suggests to us that higher-rated products may be more likely to elicit interest and engagement.
3. Opportunities for Growth and Viral engagement: Some products have recorded a significant amount of reviews and love, even when rated moderately. This lays a possibility that all certain products regardless of perfect ratings, have thrives discussions and engagements

Business Strategy Implications

1. Promote Products that Everyone Admires: Any products with at least a few reviews and adoration will be more in demand, therefore such items should come up first in the Sephora listings.
2. Encourage Clients to Read and Write Reviews: Develop a campaign to stimulate writing reviews, for example by offering a bonus for the first review or making it easier to leave a review since it appears to be important for getting love and purposes for having higher scores.
3. Learn What Makes "Viral" Products Tick. Study products that have received a lot of reviews and love as well but may not have any good reviews. What makes these products so talked about and how can we transfer the learnings to other products?
4. Implement Rating In Making Sales: Always be mindful of product ratings when looking to make sales; they may not be the only important selling point but they are important when advertising products. If there are products with really good ratings, it is likely that the businesses will spend extra to get such products in front of customers.
5. Foster Community through Reviews: Clients should be encouraged to review their purchases, and the company may go as far as responding to reviews or aggressively marketing particular reviews to establish social proof. This may include attaching a reviewer's photo or going as far as to include a customer's review in sticker form on a newspaper.

RECOMMENDATIONS AND CONCLUSIONS

Recommendations

To boost beauty and lifestyle product sales, focus on what buyers want most:

- Product and Category Management:
    - Increase focus on high sales categories: To increase sales, efforts should be directed towards developing those categories which have a large number of products and their sales ie Perfume, Moisturizers, Face Serums, and Value & Gift Sets.
    - Target segments: There is a need to target different market segments and customer needs and provide them with different kinds of products.
    - Evaluate the possibility of sacrificing existing categories: Evaluate categories where there are only few products and consider shedding them in order to cut back on transactions and improve efficiency.
- Marketing and Promotion:
    - People love what is exclusive: Let customers know that there are “exclusive” items that very few people have and that should attract them.
    - Use the online medium: This should also be done to ensure that all “online only” products have maximum reach to all potential customers.
    - Encourage sales through scarcity effect: Giving emphasis to “limited edition” items should be an effective marketing strategy to those who possess a collectors mindset and are encouraged to buy.
    - Different strategies for different price sensitivity: Different customer segments should be incorporated depending on their price sensitivity and effective marketing and promotions can be done.
- Customer Engagement and Reviews:
    - Ask customers to provide reviews: Customers must be motivated to write reviews either through perks or making it as easy as possible.
    - Exploit social proof: This can be done by implementing customer reviews and even their testimonials for marketing purposes.
    - Identify and promote potential viral products: Market products that have a large number of reviews and number of "loves" in order to capitalize on their popularity.
- Additional Considerations:
    - Keep an eye on margins and not just cost: Make sure that all product categories have an acceptable level of pricing in relation to the quality so as to keep customers happy.
    - Explore and rectify the lowest rated items: Review customer complaints and quality of the particular products for improvement and to resolve issues.
    - Use persuasive tools to manage customers’ expectations: Speak to your customers and provide them with ample details about the product and the company’s support capabilities to create the level of confidence that you seek.

Conclusions

Understanding and evaluating the Sephora dataset from different points of views helps to deconstruct how the effective marketing of beauty products can be emulated.

- Products with a high value: There are prospects to widen the customers' target with lower valued products, luxury can go up with the high-end and focused offers even inclusive of services.
- Product Range: It seems this strategy is based on addressing the diverse needs of the customers and pretty niche markets.
- Sales Exploiting Areas and Marketing of Scarcity and Exclusivity: People like to see the words "limited edition" and "exclusively" offered and have these strategies employed aimed at creating urgency and desirability to purchase the products.
- Impact on Sales and Units Sold: The relationship between the number of reviews and love counts emphasizes the need to harness customer opinion regarding products sold and the integration of social proof.
- Price and Review: It stands to reason that the absence of a strong relationship between price and rating casts an unbearable shadow over the ability to deliver quality, satisfaction and even value for customers at any price.
- Category Management: The conclusion drawn is that due to some categories of products performing a lot better than others , categorizing is essential, even down to locating those under performing categories to even restructuring the design of the webpages to ease the finding.
- Data is of paramount importance: well balanced ideas with regards to the offers, marketing, and customer interaction are only possible with accurate and full data in hand.

Sephora manages to increase customer engagement and sales by directing marketing efforts to product development and optimization.

REFERENCES

- *Sephora website*. (2020, April 17). https://www.kaggle.com/datasets/raghadalharbi/all-products-available-on-sephora-website